

Sida's approach to multidimensional poverty

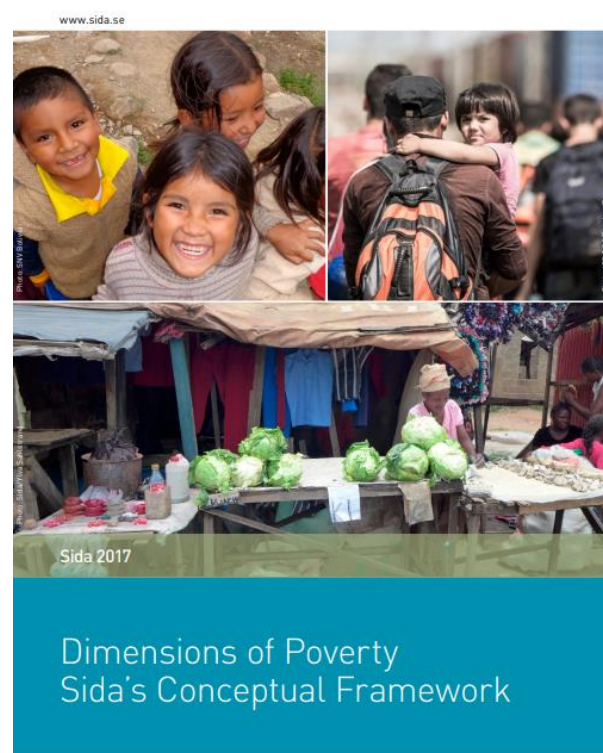
This paper outlines Sida's multidimensional approach to poverty, building on Agenda 2030 and Sweden's development cooperation policy. The paper has been prepared as an input to the Expert Group Meeting on the priority theme of the 60th session of the Commission for Social Development which is "Inclusive and resilient recovery from COVID-19 for sustainable livelihoods, well-being, and dignity for all: eradicating poverty and hunger in all its forms and dimensions to achieve the 2030 Agenda".

Swedish development cooperation considers poverty to be multidimensional. Swedish International Development Cooperation Agency (Sida) adopted a framework for multidimensional poverty that describes poverty in terms of deprivations of both capabilities and outcomes within the four dimensions of resources, power and voice, opportunities and choice, and human security. According to Sida, a person living in multidimensional poverty is resource poor and poor in one or several other dimensions.

Multidimensional poverty analyses are made and used consistently at Sida to identify who are living in multidimensional poverty in each context, how they experience poverty, as well as the causes of poverty and risks for increased poverty. The causes are identified within four aspects of the context – the economic and social context, the political and institutional context, the peace and conflict context and the environment context. The conclusions underpin operational decisions to create a development cooperation that responds to the multidimensional challenges of people living in poverty.

AGENDA 2030 REQUIRES A HOLISTIC APPROACH AND RESPONSE TO POVERTY

In 2017, Sida launched a new interpretation of multidimensional poverty – [Dimensions of Poverty](#).



To reach the ambitious goal of the 2030 Agenda, to end poverty in all its forms everywhere, will require a concerted and historic effort. Poverty is multifaceted and complex, affecting women, men, girls, and boys in different ways at different times. Understanding and acting on this complexity is the major challenge to achieving the Sustainable Development Goals of Agenda 2030. Dimensions of

Poverty is part of Sida's contribution to this historic challenge. It defines and describes Sida's approach to multidimensional poverty. Development and poverty reduction must be understood holistically as part of a complex interplay of different forces that combine to enable or prevent change.

Dimensions of Poverty defines a shared understanding of poverty that reflects the current realities of poverty, as well as the goals of today's international and Swedish development cooperation, and hence contributes to more effective and relevant development cooperation.

Swedish development cooperation takes the perspectives of people living in poverty and the human rights based approach as its starting point. In addition, three thematic perspectives; conflict, gender equality, and environmental and climate change, are prioritized. Dimensions of Poverty aligns these perspectives with the overall goal of Swedish development cooperation "to create preconditions for better living conditions for people living in poverty and under oppression".

Dimensions of Poverty contributes to the dialogue on how social, political, economic and environmental dimensions can be combined within Agenda2030 for an inclusive and sustainable development.

SIDA'S APPROACH TO MULTIDIMENSIONAL POVERTY

Poverty is complex. Knowledge about this complexity and how it is manifested for different groups is fundamental to understanding the structural causes to poverty and to define effective policy measures and approaches to reduce poverty.



Sida's approach to multidimensional poverty

Deprivations within four dimensions define poverty

The approach that Sida developed captures this complexity as it describes poverty as deprivations within four central dimensions of a person's life, capturing both capabilities as well as outcomes. These can be found in the inner circle of the figure above. It rests firmly on a human rights based approach – people living in poverty are entitled to a life in dignity, to education, to participate in decisions that affect one's life, and a life free from violence.

The four dimensions help to identify the main ways in which poverty manifests itself and how it is experienced by people living in poverty.

Textbox 1: The four dimensions of poverty

Being poor in terms of **resources** means not having access to or power over resources that can be used to sustain a decent living standard and improve one's life. Resources can be both material and nonmaterial – e.g. a decent income, capital, being educated or trained, professional skills, being healthy.

Being poor in terms of **opportunities and choice** concerns what possibility you have to develop and/ or use your resources so as to move out of poverty. Access to e.g. social services, to infrastructure, to capital, to land, or to natural resources affects the opportunities and choices.

Being poor through lack of **power and voice** relates to the ability of people to articulate their concerns, needs and rights in an informed way, and to take part in decision-making that relate to these concerns. Power is a relational concept that allows us to better understand socio-cultural hierarchies and relations of which gender is one, others include age, caste, class, religion, ethnicity and sexual orientation. Reinforcing forms of discrimination based on such socio-cultural relations may increase an individual's poverty in this sense.

Being poor in terms of **human security** implies that violence and insecurity are constraints to different groups' and individuals' possibilities to exercise their human rights and to find paths out of poverty.

According to Sida, a person living in poverty is resource poor and poor in one or several other dimensions.

Sida's framework for defining and analysing multidimensional poverty emphasizes that 'who are living in poverty' should be at the center of the analysis. It means that the women and girls, men and boys that are living in multidimensional poverty are the starting point for our understanding of poverty in a given context. Asking who lacks resources, opportunities, or power; who is insecure; and capturing inequalities between groups opens for understanding how poverty impacts different groups in these dimensions.

The development context explains poverty

Sida considers people living in poverty as actors, with the capacity to move out of poverty in conducive preconditions. The preconditions that define the possibility to move out of poverty, and that also shows the causes to poverty, are analysed in four aspects of the development context – political and institutional, economic and social, environment, and peace and conflict.

Multiple factors interplay to push people into a situation of poverty – and, in many cases, to keep them there. While the dimensions of poverty help to outline how poverty is manifested, the four development contexts highlight the structural causes and help identify pathways out of poverty. The context is often outside of the influence of an individual, but it frames the set of choices and opportunities available to individuals in a given context.

Textbox 2: Structural causes to poverty

The **political and institutional context** refers to the formal and informal political institutions, norms, rule of law and human rights.

The **economic and social context** covers the size and growth rate of the economy, the key macroeconomic variables, fiscal policy, structure of the economy and exports, use and dependence on natural resources, education system, health system and demographic developments.

The **peace and conflict context** refers to factors such as social cohesion, trust, conflict resolution mechanisms, justice, and arms control on the one hand and violence, tensions, grievances and conflicting interests on the other.

The **environmental context** includes the environmental situation, trends and consequences – e.g. climate change, loss of biodiversity and ecosystems services, pollution, water quality – and the causes and drivers of degradation.

Who are living in poverty?

Agenda 2030, not least the concept of Leave No one Behind, necessitates solid knowledge about the needs, preconditions and priorities of different groups of people and how they have been affected by development, so that policy measures can be designed according to their situation.

The answer to the question “who is experiencing deprivations in the different dimensions – and why?” will vary according to gender, age, sexual identity, ethnicity, religion, indigenouness, disability and other social variables. Gender dimensions always matter, but gender intersects with other social variables and must therefore be analysed in relation to those variables. When several layers of discrimination and deprivation coincide, poverty normally deepens. It is also important to take into account geography, the urban/rural divide, migrants and forcibly displaced people and people affected by conflict and natural disasters.

A dashboard rather than an index

All the dimensions as well as the development context are interlinked. They cannot be analysed and understood in isolation from each other. Unlike some other organisations, Sida has not developed a multidimensional poverty index. This is due to data limitations – developing an index would require us to leave out dimensions of poverty that are particularly important for Sweden like power and voice, and aspects of human security like sexual violence. We however use indexes developed by other organisations and agencies as an input to our analysis, and complement with information on the other dimensions of poverty that are important – and sometimes unique – to Sida’s definition of poverty.

Poverty is dynamic

People tend to move in and out of poverty. One aspect of the analysis that is yet somewhat underdeveloped is the forward-looking part – who

is at risk of falling in to poverty due to the effects of large global trends like climate change, urbanisation and migration? What are the national trends that will drive people in to poverty – degradation of natural resources, violent conflicts, or reduced democratic space – and who is at risk?

Poverty and vulnerability are interlinked

Living in or near poverty affects a person’s vulnerability to different types of risks that can push them into poverty, deeper into poverty or permanently into poverty. The link between poverty and vulnerability is not linear but complex and dynamic. It is dependent on how people are deprived in all dimensions – their capacities, resources and opportunities – and their ability to manage risks, and their exposure to risks. In this sense, understanding risks and vulnerability is an important component of understanding the multidimensional nature of poverty among women, men, girls and boys.

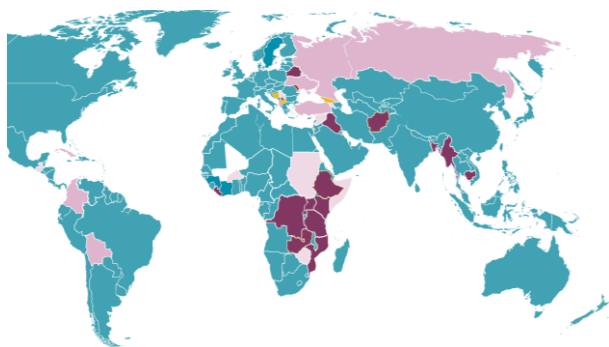
People living in poverty are in many cases exposed to risks due to unpredictable income, poor access to health services, etc. When people are poor in multiple dimensions, there is an increased likelihood that they will not have, or have access to, the resources and opportunities needed to manage risks and maintain their well-being when exposed to shocks.

However, people living in poverty may be less exposed to other types of risk. For instance, subsistence farmers may be less exposed to economic and market shocks since they are only distantly connected to larger markets.

This complex relationship between poverty and vulnerability means that we need to understand in what dimensions women, men, girls and boys are poor, their exposure to risks, and how their poverty affects their capacity to cope with risks.

SIDA'S MULTIDIMENSIONAL POVERTY ANALYSES (MDPA) UNDERPIN OPERATIONAL DECISIONS

Almost all Sida's country teams around the globe have made an analysis of multidimensional poverty (MDPA) in their context (see map below). In addition to the countries shown on the map, Sida has also made regional analyses for the MENA region, and for Asia and the Pacific. Early this year, Sida finalised its first analysis of global multidimensional poverty following the analytical model developed in 2017.



Map of Sida's analytical coverage

In almost all cases, the MDPAs are made by the Sida-team itself, very seldom by consultants or think tanks. We have noted that if the team itself is involved in making the analysis, it is more likely that the conclusions and the knowledge in the analysis is used as a basis for operational strategic or portfolio related decisions.

Because the main purpose of the multidimensional poverty analysis is to ensure the continued relevance of Sida's contribution portfolios and that they respond to how poverty is manifested and experienced, who are living in poverty, in what dimensions, and the underlying causes of poverty, risks and vulnerability.

Normally, teams make a comprehensive multidimensional poverty analysis at one point in the strategy cycle and then revisit it at a few occasions. It is particularly strategic to make – or update – the MDPA as part of the mid-term review.

Then, a comprehensive assessment of the relevance of the portfolio is made, and forward looking conclusions are presented to the Ministry for Foreign Affairs as an input for future strategies. If these two steps are based on solid knowledge about multidimensional poverty, it enables a poverty focused Swedish development cooperation.

ADJUSTING THE ANALYSIS TO CHANGING CIRCUMSTANCES: COVID-19

Poverty is dynamic and is affected by changes in the context. One example is the striking impact of the Covid-19 pandemic on poverty. During the past year, the global Covid-19 pandemic has changed the global landscape. In addition to the human suffering caused by the disease, the political decisions to contain the virus and the economic consequences and behavioural responses have been unprecedented in scope and pace in the modern history. As a consequence, millions of people have fallen into poverty, and the face of poverty has shifted. Sida's analyses of poverty thus need to be revised to reflect these changes.

We have updated Sida's support to the country teams with guidance that explains the main links between the Corona pandemic and poverty in Sida's four dimensions, as well as the contexts, and how to revise the multidimensional poverty analysis in light of the crisis. Many of Sida's teams are updating their analysis accordingly, or plan to do it. In brief, the guidance explains that:

- How a country is affected by the Covid-19 crisis depends on the characteristics and decisions of the country itself, how the virus spreads, and how the country is connected to other countries and their responses to the pandemic.
- People living in poverty are impacted by the crisis irrespective of if they contract the disease itself or not. The consequences are likely to persist over a long period of time

and might change in character and hit different groups differently over time.

- Not all households suffer proportionally from the same effects and some groups might be subject to overlapping deprivations and thus are particularly vulnerable to the ongoing crisis.
- The Corona pandemic may also bring about a group of 'new poor' – household who were not living in poverty before the crisis but who are now pushed temporarily or more permanently into poverty.
- Some households who were already poor may experience a deterioration in their situation and may fall into destitute poverty due to the pandemic.

A revised analysis of who are living in poverty and how they experience poverty is of central importance for understanding the impact of the pandemic on people living in, or who are vulnerable to falling into, poverty, as an important input to strategic decisions on development cooperation.

EXAMPLES OF HOW FOOD SECURITY IS ANALYSED IN SIDA'S MULTIDIMENSIONAL POVERTY ANALYSES (MDPA)

Food security is an integral part of Sida's multidimensional poverty analysis. It is often identified as a deprivation in the resource dimension, or within opportunities and choice – who is deprived in terms of food security, and what consequences does it have on nutritional status and health?

The analysis for **Cambodia** is a good example of this: "Youths and women are particularly poor, which has a negative spillover effect on children who are stunted due to non-affordability of appropriate nutritious food, and who are thus deprived from opportunities." The analysis for **Mozambique** concludes that "Chronic malnutrition due to food insecurity, poor hygiene, health and sanitation, inadequate maternal and child health care, and poor diets." And Sida's MDPA for

Afghanistan observes that "Out of approximately 27 million Afghans, 9.3 million need humanitarian assistance, such as essential health, nutrition and food security. Of those, 80% are women and children. Landless households are often the most deprived. Fewer than 2% of women own land and most of those women are widows."

Sida's MDPAs often identify causes of food insecurity in the environment context. In **Cambodia**, the MDPA argues that "Risk calculations show that the impacts of climate change on the Cambodian people and key economic sectors are likely to become increasingly significant. Cambodian agriculture is extremely vulnerable to climate change and food security is thus threatened. Climate change also negatively affects fisheries, forests and water and food security is thus threatened." Sida's MDPA for **Ethiopia** identifies linkages between deforestation and food security "Deforestation is widespread, which have increased the vulnerability of many people to food and water security." And in the **MENA** analysis, linkages between water scarcity, climate change and food security are clear: "The scarcity of water is directly linked to food security and the so well needed trade in food which also are a source to future new conflicts. Climate change is one of the main factors leading to the increased water stress." In the **Zambia** MDPA, linkages to climate change are also made "Environment and climate change are two factors the pose immediate risks for people living in poverty in Zambia. Extreme weather conditions such as droughts, rising temperatures and heavy and predictable rainfall patterns are threats to agriculture and food security but also to forestry, water and energy which affect economic and social development.". Finally, the analysis for **Uganda** shows how climate-related disasters are linked to food security "The main threats are droughts, which increase the food insecurity for a large share of the population, and floods."

ANNEX: SIDA'S SUPPORT TO FOOD SECURITY

Sweden contributes towards responsible investments for greater productivity and sustainability in agriculture (agriculture and forestry) and for sustainable fisheries. The majority of people living in poverty are found in rural areas and rely on small-scale farming or fishing for their livelihood. A sustainable increase in agricultural productivity is a prerequisite for achieving food security and thereby sustainable economic development. Secure access to nutritious and safe food is a right and a fundamental prerequisite for a life in dignity and people's opportunity to contribute to the economy. Responsible investment to develop sustainable agriculture and sustainable use of forests and fishing is a powerful instrument in fighting poverty, and ensuring food security and sustainable economic development. Women have a central role in food security. Obstacles to food security include weak or unclear ownership, tenure and inheritance rights, as well as food loss and waste and poor infrastructure, which often put women at a disadvantage.

Sida's disbursements to the three sectors of agriculture, forestry and fishery were in 2019 just below 1.4 billion SEK, about 5.3 percent of Sida's total disbursements. This has been at a stable level for the last few years. If rural development is added (appr 350 million SEK), the sector increases to nearer 7 percent of the total Sida expenditures.

Among the three main areas, agriculture remained the largest post with 77 percent of disbursements, while forestry received 20 percent. Fisheries support was 3 percent of disbursements.

Sida's contributions to agriculture accommodate a diverse picture. It has over the years included support to technological development and agricultural extension services as well as agricultural policy, administration and research. The thematic area also covers land policy reforms and land administration, processing and

commercialisation of agricultural products (value chains), training as well as efforts for mitigation and adaptation to climate change, and links to resilience in agricultural systems and environmental issues. During the last five years, there has been a trend towards support for agricultural development and policy, whereas agricultural extension has decreased, with zero spending in 2019. Other sub-sectors, including those of forestry and fishing, remain relatively constant. Land rights are getting renewed attention, as many of the human rights defenders that have been killed during the last few years were farmers or their representatives.

Agriculture, food security and forestry are also widely prominent in many other activities that Sida supports, and thus classified under other sectors. Examples of these are private sector cooperation, market development, employment, economic growth, support via civil society and multisector/rural development. Another example is humanitarian aid where a large part of the support addresses improved food security. A recent portfolio review estimated the total support to the thematic area to be significantly larger in real terms and engagement than what the specific statistical data shows.

For several years, Sida has given particular attention to gender and the role of women in agriculture. The agricultural sector is underperforming in many developing countries, often because women do not have equal access to the resources and opportunities needed to increase agricultural production. Involving and targeting women not only improves production but also gives secondary results such as children's education and food nutrition as well as better family health generally.